

1 ENGROSSED HOUSE
2 BILL NO. 4478

By: Deck, Waldron, and
Provenzano of the House

3 and

4 Reinhardt of the Senate

5
6 An Act relating to schools; amending 70 O.S. 2021,
7 Section 5-129, which relates to the school activity
8 fund; removing requirement to deposit certain funds
9 by end of the next business day; eliminating
10 reference to deposits for less than certain amount;
11 requiring deposit when funds reach certain amount;
12 requiring certain funds to be deposited at least once
13 per business week; and providing an effective date.

14 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

15 SECTION 1. AMENDATORY 70 O.S. 2021, Section 5-129, is
16 amended to read as follows:

17 Section 5-129. A. The board of education of each school
18 district shall exercise control over all funds and revenues on hand
19 or hereafter received or collected, as herein provided, from student
20 or other extracurricular activities or other revenue-generating
21 sources listed in subsection B of this section that are conducted in
22 the school district. Such funds shall be deposited to the credit of
23 the account maintained for the benefit of the particular activity
24 within the school activity fund. Deposits of funds subject to the
requirements of this section shall be made ~~by the end of the next~~
~~business day; however, if the deposit for a day totals less than One~~

1 ~~Hundred Dollars (\$100.00), a school district may accumulate monies~~
2 ~~required to be deposited into the fund on a daily basis until when~~
3 the total accumulated balance of deposits equals or exceeds ~~One~~
4 ~~Hundred Dollars (\$100.00)~~ Five Hundred Dollars (\$500.00). Provided,
5 a school district shall deposit accumulated monies into the fund not
6 less than one ~~(1)~~ time per business week, regardless of whether the
7 monies total ~~One Hundred Dollars (\$100.00)~~ Five Hundred Dollars
8 (\$500.00). Disbursements from each of the activity accounts shall
9 be by check countersigned by the school activity fund custodian and
10 shall not be used for any purpose other than that for which the
11 account was originally created. The board of education, at the
12 beginning of each fiscal year and as needed during each fiscal year,
13 shall approve all school activity fund subaccounts, all subaccount
14 ~~fund-raising~~ fundraising activities and all purposes for which the
15 monies collected in each subaccount can be expended. Provided, the
16 board of education may direct by written resolution that any balance
17 in excess of the amount needed to fulfill the function or purpose
18 for which an account was established may be transferred to another
19 account by the custodian.

20 B. The board of education of each school district may designate
21 that any of the following revenue be deposited for the use of
22 specific school activity accounts, or to a general activity fund
23 within the school activity fund:
24

1 1. Admissions to athletic contests, school or class plays,
2 carnivals, parties, dances and promenades;
3 2. Sale of student activity tickets;
4 3. Concession sales, including funds received from vending
5 concession contracts and school picture contracts approved by the
6 district board of education, and cafeteria or luncheon collections;
7 4. Dues, fees and donations to student clubs or other
8 organizations, provided that membership in such clubs or
9 organizations shall not be mandatory;
10 5. Income or revenue resulting from the operation of student
11 organizations or club projects, provided, such revenue is not
12 derived from the lease, rental or sale of property, supplies,
13 products or other assets belonging to the school district. When
14 approved by the board of education, student organizations or club
15 projects may include ~~fund-raising~~ fundraising activities, the
16 revenues from which may be used for the purpose of purchasing goods
17 or services otherwise considered to be general fund expenditures;
18 6. Deposits for or collections for the purchase of class
19 pictures, rings, pins, announcements, calling cards, annuals,
20 banquets, student insurance and other such personal items; provided
21 the cost of such items shall not be charged against other school
22 funds; and
23 7. Other income collected for use by school personnel and other
24 school-related adult functions.

1 C. The board of education of each district may establish petty
2 cash accounts to be used only for the purpose of making small cash
3 expenditures, such as postage, freight or express charges; provided,
4 no single expenditure from a petty cash account shall be made in
5 excess of Seventy-five Dollars (\$75.00), and the total expenditures
6 during any one (1) fiscal year shall not exceed Two Thousand Five
7 Hundred Dollars (\$2,500.00) per school building. The school
8 activity fund custodian shall initiate petty cash accounts by filing
9 a claim against the general fund of the school district for the
10 authorized amount of each petty cash account which shall not exceed
11 Two Hundred Dollars (\$200.00) per school building. The general fund
12 warrants issued in payment of said claim shall be deposited in a
13 "Petty Cash Account" in the school activity fund.

14 All disbursements from the petty cash accounts shall be made in
15 the same manner as other disbursements from the school activity
16 fund, except no disbursement shall be made from a petty cash account
17 unless a prenumbered, dated receipt be obtained and signed by the
18 person receiving payment. A school board may designate a petty cash
19 custodian to countersign petty cash checks in place of the activity
20 fund custodian. The school activity fund custodian shall file
21 claims against the general fund of the school district for
22 reimbursement of a petty cash account whenever the need shall arise.
23 Such claims shall be itemized in the same manner as other claims
24 filed against the general fund and shall have attached thereto the

1 receipts covering each of the expenditures claimed for
2 reimbursement. The total of a petty cash account balance and the
3 receipts on hand awaiting reimbursement should equal at all times
4 the authorized amount of a petty cash account.

5 None of the provisions pertaining to a petty cash account shall
6 be construed to authorize the use of one (1) fiscal year's fund to
7 pay obligations of another fiscal year. Any remaining balance in
8 each petty cash account shall be transferred to the general fund on
9 or before June 30 of each year.

10 D. The State Board of Education shall adopt appropriate rules
11 and regulations and design standard forms for the proper conduct of
12 the various school activity accounts.

13 E. The school activity fund custodian and the petty cash
14 custodian shall be appointed by the board of education of the school
15 district. The school activity fund custodian and the petty cash
16 custodian shall give a surety bond in an amount determined by the
17 board of education, but not less than One Thousand Dollars
18 (\$1,000.00). The premium of the surety bond shall be paid from the
19 school activity fund or the general fund.

20 F. The local board of education is hereby authorized to invest
21 activity funds as it determines appropriate. Upon direction of the
22 local board of education, the custodian of the activity fund shall
23 invest activity funds in any or all of the investments permitted and
24 listed in Section 5-115 of this title.

1 G. The board of education of a school district may establish,
2 by board resolution, a general fund refund subaccount within the
3 school activity fund. The balance in the subaccount shall be
4 determined by need, and it shall be funded by refunds and
5 reimbursements received, including, but not limited to, rental
6 income, reimbursements for lost and damaged textbooks, summer school
7 and adult tuition, overpayments and tax refunds, as well as
8 transfers, by treasurer's check, from the school district general
9 fund. The subaccount may be expended only for the refund of
10 revenues previously received and deposited either into the
11 subaccount or directly into the general fund. Any remaining balance
12 in the refund subaccount shall be transferred to the school district
13 general fund on or before June 30 of each year.

14 H. The board of education of a school district may authorize
15 the custodian of the school activity funds to provide cash advances
16 to the sponsors for travel expenses on behalf of school district
17 students and sponsors of certain school activities. The cash
18 advances may only come from the school activity fund subaccount
19 directly involved in the travel of such students or sponsor and only
20 if the travel is one of the stated functions or purposes for the
21 establishment of the subaccount. Receipts for all expenditures of
22 the cash advances shall be kept and turned in to the custodian of
23 the school activity fund following said trip.

I. Any invoice submitted to a school district which is to be paid from a school activity fund and is for payment of an authorized expenditure in an amount equal to or greater than the threshold amount stated in Section 310.9 of Title 62 of the Oklahoma Statutes shall conform to the requirements set forth in that section.

SECTION 2. This act shall become effective November 1, 2026.

Passed the House of Representatives the 17th day of March, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the _____ day of _____, 2026.

Presiding Officer of the Senate